

Springboard Trading – Day 3

Springboard Trades: Bounce from Support & Rejection from Resistance

Objective of Day 3

By the end of today, you will understand:

- How **springboard** moves form
- How to trade **bounce from support**
- How to trade **rejection from resistance**
- Where **retail chases** and where **professionals enter**

1 What is a Springboard Move?





A springboard move happens when:

- Price reaches a **strong level**
- Price **pauses / compresses**
- Energy builds
- A **strong impulse move** happens

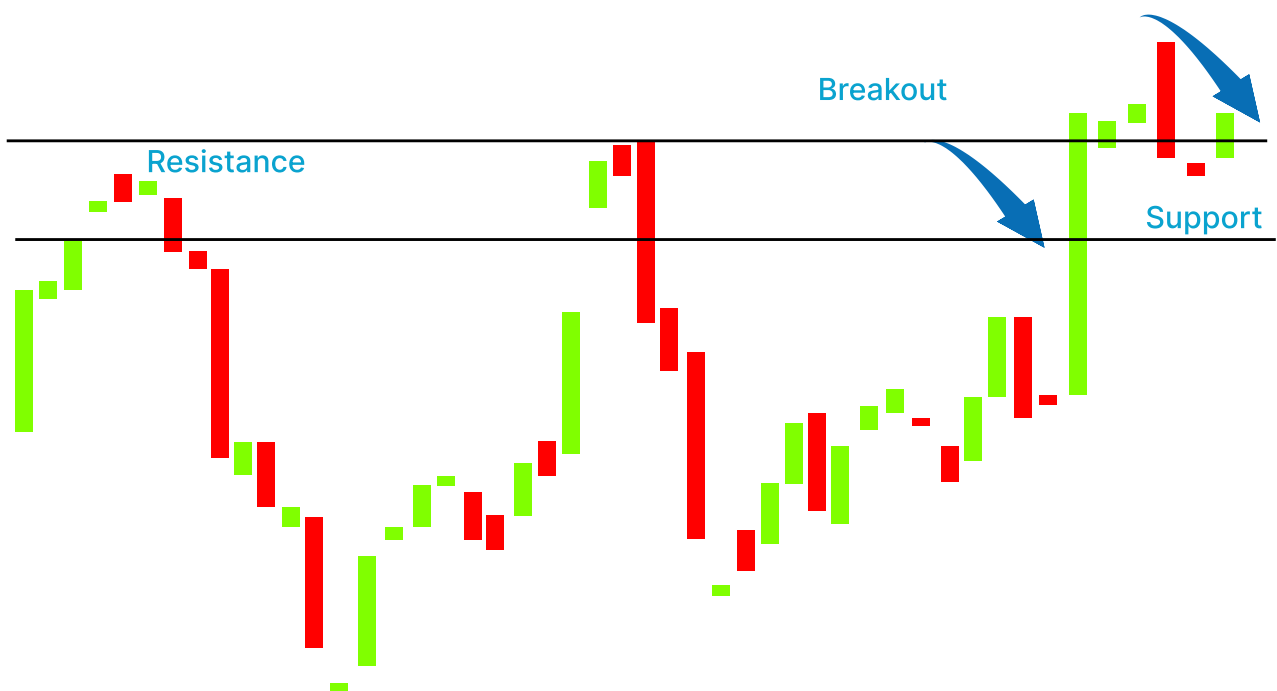
📌 Just like compressing a spring → then releasing.

Strong move does NOT start randomly.
It starts from **important levels**.

2 Springboard from Support (Upside Launch)



Identify the Breakout Stock



Market Structure

- 1 Price falls into **support**
- 2 Selling pressure slows
- 3 Base or sideways movement forms
- 4 Strong bullish candle appears



Psychology

- Weak hands panic sell
- Smart money accumulates
- When sellers finish → price **launches up**



Entry Logic (Conceptual)

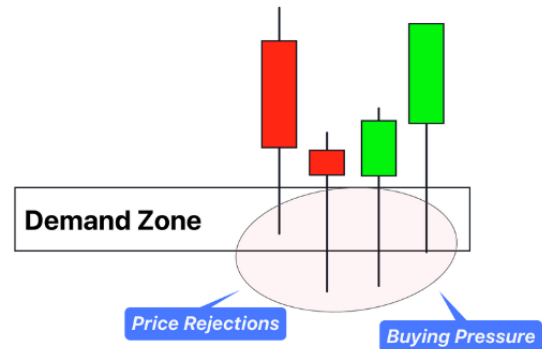
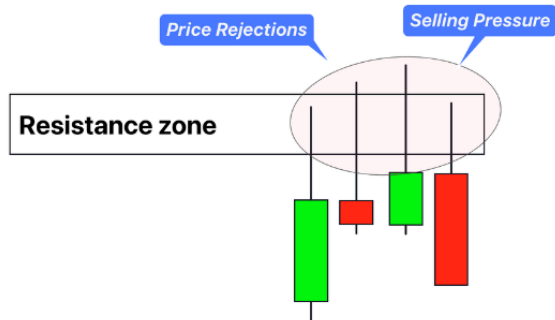
- Enter **after confirmation near support**
- Stop loss **below support zone**
- Target = **next resistance**

Do NOT buy falling candles

Buy **strength after support holds**

3 Springboard from Resistance (Downside Rejection)

What is Price Rejection in Forex?



Successful Rejection Candle Trade in a Strong Uptrend



Market Structure

- 1 Price rises into **resistance**
- 2 Buying slows
- 3 Upper wicks appear
- 4 Strong bearish candle confirms rejection

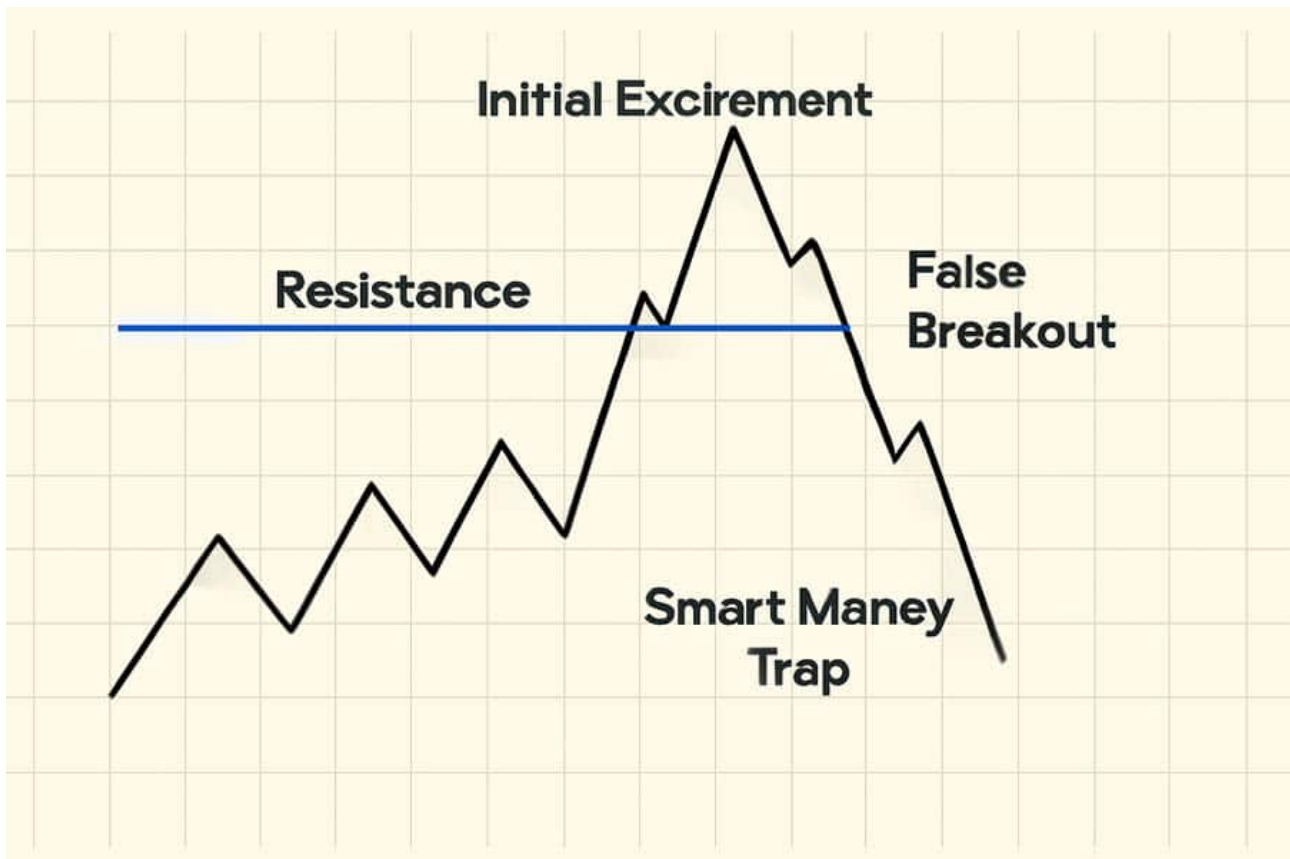
- Late buyers chase breakout
- Smart money distributes
- When buyers fail → price **drops fast**

- Enter **after rejection at resistance**
- Stop loss **above resistance zone**
- Target = **next support**

Do NOT short rising candles
Short **weakness after rejection**

4





Retail Traders:

- ✗ Buy breakout at resistance
- ✗ Sell breakdown at support
- ✗ Chase big candles

Professionals:

- ✓ Buy near support
- ✓ Sell near resistance
- ✓ Enter when crowd feels fear or FOMO

Crowd buys high.

Professionals buy **where crowd is scared**.

5 Strong vs Weak Springboard Moves

CANDLESTICK

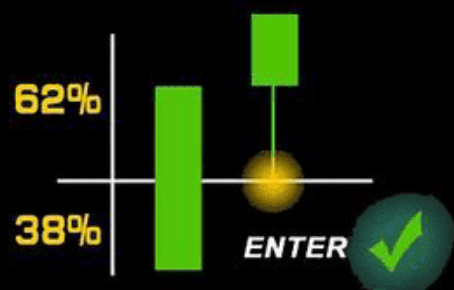
STRONG AND WEAK BREAKOUTS

WEAK BREAKOUT

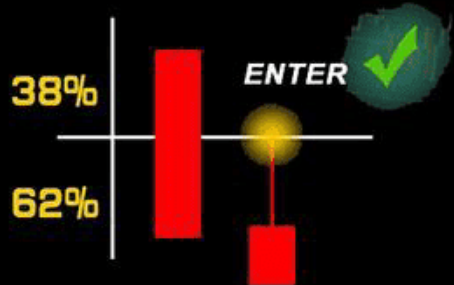


BULLISH

STRONG BREAKOUT



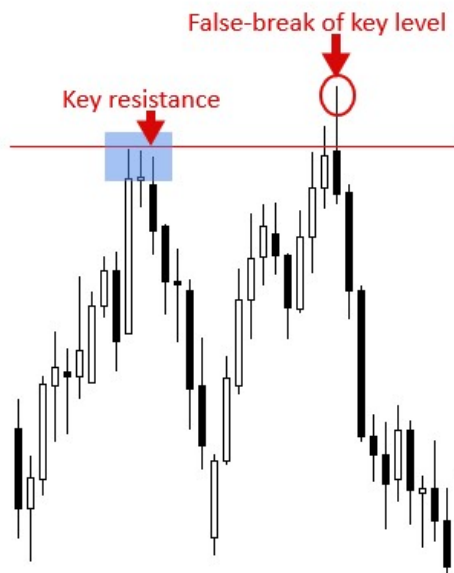
BEARISH



WEAK BREAKOUT

STRONG BREAKOUT

False Breakout Patterns



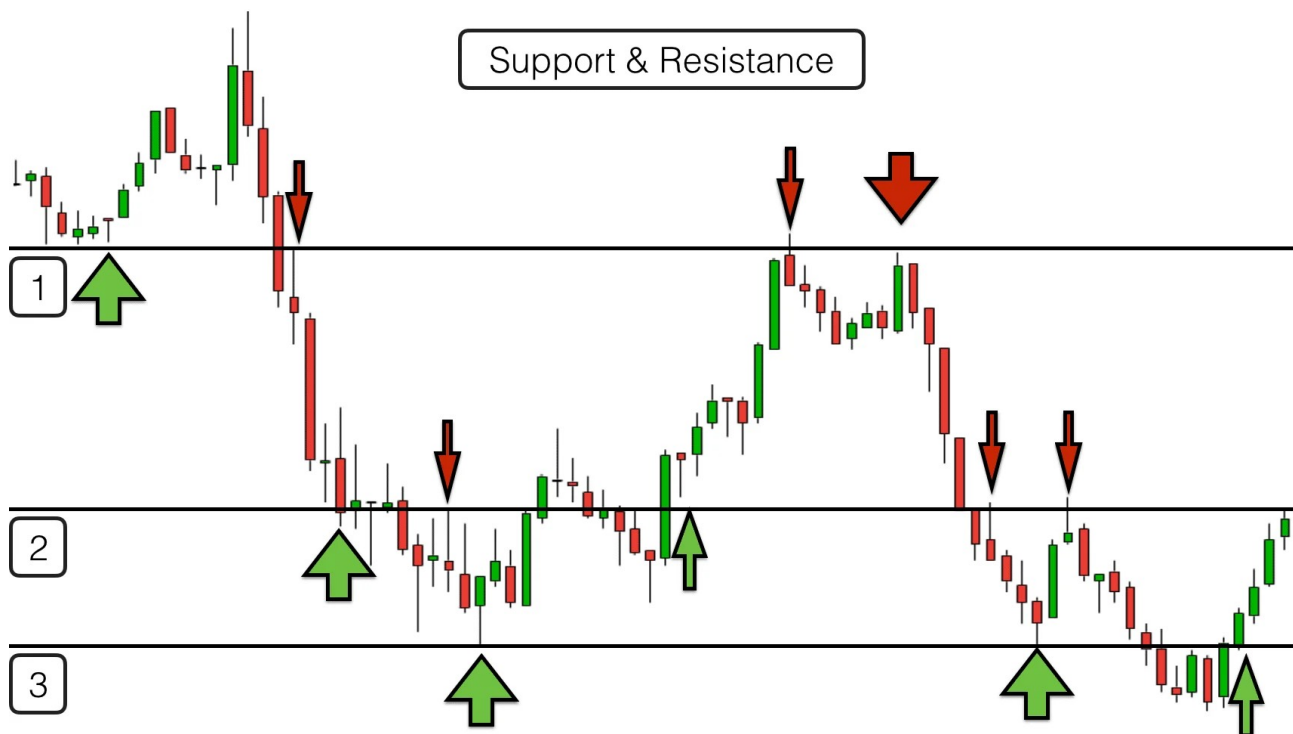
Strong Springboard Has:

- Strong rejection wicks
- Tight consolidation before move
- Big candle with volume
- Clean breakout away from level

Weak Springboard Has:

- ✗ No base
- ✗ Slow drifting
- ✗ Small candles
- ✗ No expansion
- 📌 No energy build = no explosion

6 Key Rule: Wait for Reaction, Not Prediction



Bad thinking:

- ✗ “It should bounce”
- ✗ “It must reverse here”

Good thinking:

- ✓ “If it reacts, I trade”
- ✓ “If no reaction, I wait”

Levels don’t guarantee reversal

They offer **opportunity to observe reaction**



Day 3 Homework (Practical Training)

1 Open any chart

2 Mark:

- One **support springboard zone**
- One **resistance rejection zone**

3 Observe:

- Did price **pause before move**?
- Was the move **fast or slow**?
- Was it a **clean rejection or messy**?

✗ No live trading

✓ Only **pattern recognition**

Day 3 Mindset Rule

“I don’t chase price.
I let price come to my level
and **prove itself**.”